APEX TERMINAL | EQUITY RESEARCH

AAPL | BUY | 12M outlook

AAPL | Apple Inc. | Technology | Consumer Electronics

US listing (NASDAQ / NYSE) | USD | 12M outlook | report date 2026-10-26

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DEMO - SYNTHETIC DATA - NOT FOR INVESTMENT USE

Every financial figure in this report is generated by the local deterministic engine from a synthetic fixture. These are not company-reported financials, not audited disclosures, and must not be read as a description of any real company or used for investment decisions.

Investment Summary

RATING	TARGET (12M)	IMPLIED UPSIDE	LAST PRICE
BUY	205.14 USD	+117.1%	94.50 USD

BUY | 12M | target 205.14 USD vs last close 94.50 USD (117.1% upside)

Apple Inc. (AAPL, NASDAQ / NYSE) last closed at 94.50 USD, inside a 52-week range of 65.00-105.00. Our 12M view is BUY with a target of 205.14 USD, which screens materially undemanding on our base case. The base case compounds revenue from 6.00B USD (last reported) to 9.66B USD over 5 forecast years - a 10.0% CAGR - with the EBITDA margin moving from 36.7% in the first forecast year to 36.7% in the final year. Final-year free cash flow of 2.09B USD equals 59.0% of EBITDA and a 21.6% free-cash-flow margin. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 30.47B USD and equity value of 30.77B USD. The terminal value contributes 77.9% of enterprise value, so long-run assumptions dominate the estimate. At the current market price the implied WACC is 15.26%, i.e. the market discounts our cash flows more steeply than our stated cost of capital.

Company & Industry

Market cap	12.50B USD
Employees	164,000
Last close	94.50 USD
52-week range	65.00 - 105.00
Last reported period	2025-12-31

Business overview

Designs and markets smartphones, personal computers, tablets, wearables and accessories, and sells a range of related services. Every figure in this profile is generated deterministically in this browser for AAPL.

Apple Inc. operates in Technology / Consumer Electronics on the NASDAQ / NYSE listing, with a market capitalisation of 12.50B USD and approximately 164,000 employees. Designs and markets smartphones, personal computers, tablets, wearables and accessories, and sells a range of related services. Every figure in this profile is generated deterministically in this browser for AAPL. Company identity and financials in this build come from the local synthetic fixture and must not be read as company-reported data.

Industry context

Recurring-revenue metrics (ARR, net revenue retention, RPO) are not present in the dataset; growth and margin analysis relies on reported total revenue only. Sector-specific metrics a professional technology note would track: Revenue growth (available); Gross margin (available); Operating margin / operating leverage (available); Cash conversion (available); Recurring-revenue mix (ARR / NRR) (unavailable - not disclosed in the dataset).

Sector metrics a professional note would track

- Revenue growth: available
- Gross margin: available
- Operating margin / operating leverage: available
- Cash conversion: available
- Recurring-revenue mix (ARR / NRR): unavailable - not disclosed in the dataset

Financial Statements - Reported History

Income statement

Period	Revenue	Gross profit	Operating income	EBITDA	Net income	EPS
2025	6.00B	3.80B	1.80B	2.20B	1.40B	9.33
2024	5.20B	3.25B	1.50B	1.85B	1.17B	7.80
2023	4.50B	2.80B	1.30B	1.60B	1.01B	6.73
2022	3.90B	2.40B	1.10B	1.35B	850.00M	5.67

Source: All figures in USD. Synthetic local fixture.

Balance sheet

Period	Total assets	Cash	Total debt	Equity	Net debt
2025	8.50B	1.50B	1.20B	5.50B	-300.00M
2024	7.50B	1.20B	1.00B	5.00B	-200.00M
2023	6.80B	1.00B	900.00M	4.55B	-100.00M
2022	6.00B	850.00M	900.00M	3.90B	50.00M

Source: All figures in USD. Synthetic local fixture.

Cash-flow statement

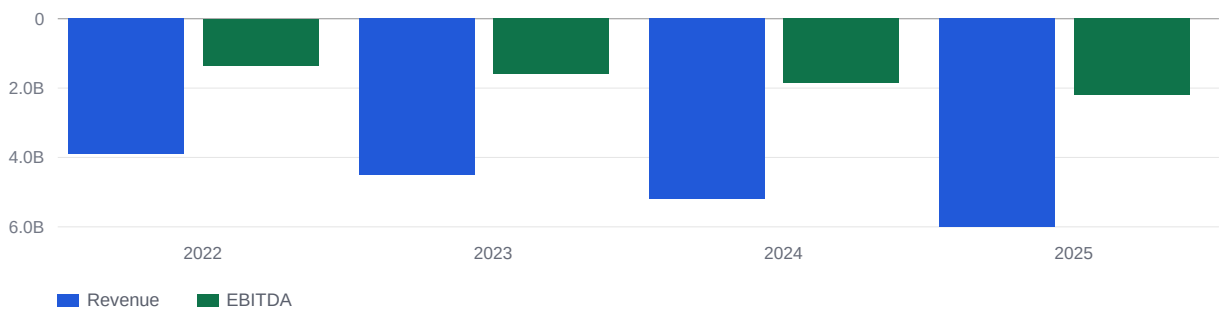
Period	Operating CF	Capex	Free cash flow
2025	1.80B	-500.00M	1.30B
2024	1.50B	-400.00M	1.10B
2023	1.30B	-350.00M	950.00M
2022	1.10B	-300.00M	800.00M

Source: All figures in USD. Synthetic local fixture.

Key ratios

Period	Rev growth	Gross margin	Op margin	Net margin	ROIC	FCF
2025	15.4%	63.3%	30.0%	23.3%	27.7%	1.30B
2024	15.6%	62.5%	28.8%	22.5%	25.0%	1.10B
2023	15.4%	62.2%	28.9%	22.4%	23.4%	950.00M
2022	-	61.5%	28.2%	21.8%	22.3%	800.00M

Source: Derived from reported statements. Nulls preserved where data is missing.



Source: Reported revenue and EBITDA (USD).

Base-Case Forecast

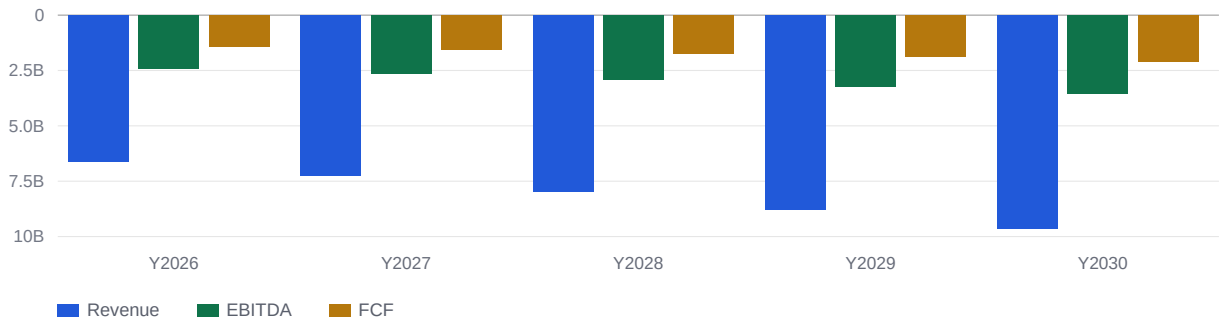
Year	Revenue	EBITDA	EBIT	Net income	FCF	Shares
Y2026	6.60B	2.42B	1.98B	1.54B	1.41B	150.00M
Y2027	7.26B	2.66B	2.18B	1.70B	1.56B	150.00M
Y2028	7.99B	2.93B	2.40B	1.88B	1.72B	150.00M
Y2029	8.78B	3.22B	2.64B	2.07B	1.90B	150.00M
Y2030	9.66B	3.54B	2.90B	2.28B	2.09B	150.00M

Source: Forecast figures in USD. Deterministic model output.

Revenue CAGR	10.0%
Final revenue	9.66B USD
Final EBITDA	3.54B USD
Final free cash flow	2.09B USD
Balance-sheet identity	Balanced in every year

Forecast drivers (documented assumptions)

Revenue Growth	10.00%
Gross Margin	63.33%
Opex Ratio	33.33%
Tax Rate	20.00%
Da Pct	6.67%
Capex Pct	8.33%
Nwc Pct	3.33%
Interest Rate	4.17%
Dividend Payout	30.00%
Excess Cash Sweep	0.00%
Share Dilution	0.00%



Source: Forecast revenue, EBITDA and free cash flow (USD).

Valuation - Discounted Cash Flow

WACC build-up (CAPM, documented defaults)

Risk-free rate	4.00%
Equity beta	1.00
Market risk premium	5.50%
Cost of equity (Rf + beta x MRP)	9.50%
Pre-tax cost of debt	6.00%
Tax rate	25.00%
After-tax cost of debt	4.50%
Equity / debt weight	70% / 30%
WACC applied	8.50%

Free cash flows and discounting

Year	Free cash flow	Discount factor	Present value
Y1	1.41B	0.9217	1.30B
Y2	1.56B	0.8495	1.33B
Y3	1.72B	0.7829	1.35B
Y4	1.90B	0.7216	1.37B
Y5	2.09B	0.6650	1.39B

Enterprise-to-equity bridge

PV of explicit cash flows	6.73B USD
PV of terminal value	23.74B USD
Terminal value share of EV	77.9%
Enterprise value	30.47B USD
Net cash	300.00M USD
Equity value	30.77B USD
Shares outstanding	150.00M
Value per share	205.14 USD
Implied exit multiple on final EBITDA	8.6x
Implied upside vs last price	117.1%

Sensitivity - WACC vs terminal growth

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	255.90	279.96	310.04	348.71	400.27
7.5%	212.31	228.11	247.08	270.25	299.23
8.5%	181.21	192.26	205.14	220.37	238.65
9.5%	157.92	166.00	175.23	185.87	198.29
10.5%	139.84	145.95	152.82	160.60	169.50

Source: Value per share (USD). Sensitivity maps model response to assumptions; it does not remove uncertainty.

Reverse DCF at the current market price

At a market price of 94.50 USD the implied WACC is 15.26%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

Scenario analysis

Bull: Bull case: target of 235.91 USD (+15% versus base) if revenue growth runs ahead of the 10.0% path and the terminal margin holds at 36.7%.

Base: Base case: target of 205.14 USD on 10.0% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 174.37 USD (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

Risks & Catalysts

Strengths

- Revenue compounding of 10.0% CAGR on the base case, with EBITDA margin at 36.7% by the final forecast year.
- Cash generation: 59.0% of final-year EBITDA converts to free cash flow (2.09B USD), self-funding reinvestment or capital returns.
- Net cash of 300.00M USD provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.
- Return on invested capital of 27.7% in 2025 indicates value-accretive reinvestment at the reported level.

Risks

Terminal-value dependence

Exposure: The present value of the terminal value is 77.9% of enterprise value.
Impact: Small changes to the discount rate or long-run growth swing the target materially.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Scenario: Value per share across the sensitivity grid ranges 139.84-400.27.
Basis: fact

Growth execution

Exposure: The base case assumes 10.0% revenue CAGR.
Impact: A deceleration compresses both the cash-flow base and the applied multiple.
Monitoring metric: Reported revenue growth versus the forecast path
Scenario: Bear case assumes growth runs below plan (see scenarios).
Basis: inference

Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.
Impact: No conclusion in this report should be relied upon as a description of any real company.
Monitoring metric: Data-status label on the cover of this report
Basis: fact

Missing sector-specific evidence

Exposure: Recurring-revenue mix (ARR / NRR) are not available in the dataset.
Impact: Sector-specific failure modes cannot be quantified.
Monitoring metric: Disclosure of unavailable metrics in the industry section
Basis: fact

Catalysts

Revenue upside versus plan

Event: Reported revenue tracking above the 10.0% base-case path
Timing: Next reported annual period; exact timing is unknown
Grounding: Each point of revenue upside converts at the 36.7% terminal-year EBITDA margin.

Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions
Timing: Timing unknown; requires board action
Grounding: Net cash of 300.00M USD on the latest balance sheet would fund returns without new leverage.

Multiple re-rating

Event: Market multiple moving toward the model-implied 8.6x exit level
Timing: Timing unknown
Grounding: The DCF embeds a 8.6x exit multiple on final-year EBITDA of 3.54B USD.

Model Quality & Integrity Review

> **Conviction: LOW**
>
> Conviction is constrained by synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage spans 2022-2025 (4 annual periods). Sector metrics unavailable: Recurring-revenue mix (ARR / NRR). Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions: revenue growth 10.00%; gross margin 63.33%; opex ratio 33.33%; tax rate 20.00%; da pct 6.67%; capex pct 8.33%.

Automated checks

Balance-sheet identity	Pass
DCF produced a value	Yes
Valuation warnings	0
Integrity errors (blocking)	0
Integrity warnings	1

Validation detail

[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic demonstration data).

Sources & Methodology

Data sources (numbered)

#	Metric	Value	Period	Status	Source
1	Revenue	6,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
2	Revenue growth	0.15	2025-12-31	derived	APEX local deterministic fix
3	Gross margin	0.63	2025-12-31	derived	APEX local deterministic fix
4	Operating margin	0.3	2025-12-31	derived	APEX local deterministic fix
5	Net income	1,400,000,000	2025-12-31	synthetic	APEX local deterministic fix
6	EBITDA	2,200,000,000	2025-12-31	synthetic	APEX local deterministic fix
7	Free cash flow	1,300,000,000	2025-12-31	synthetic	APEX local deterministic fix
8	Net debt	-300,000,000	2025-12-31	derived	APEX local deterministic fix
9	Diluted EPS	9.33	2025-12-31	synthetic	APEX local deterministic fix
10	Shares outstanding	150,000,000	2025-12-31	synthetic	APEX local deterministic fix
11	Assumption: revenue growth	0.1	forecast horizon	assumption	User / engine default (docum
12	Assumption: gross margin	0.6333	forecast horizon	assumption	User / engine default (docum
13	Assumption: opex ratio	0.3333	forecast horizon	assumption	User / engine default (docum
14	Assumption: tax rate	0.2	forecast horizon	assumption	User / engine default (docum
15	Assumption: da pct	0.0667	forecast horizon	assumption	User / engine default (docum
16	Assumption: capex pct	0.0833	forecast horizon	assumption	User / engine default (docum
17	Assumption: nwc pct	0.0333	forecast horizon	assumption	User / engine default (docum
18	Assumption: interest rate	0.0417	forecast horizon	assumption	User / engine default (docum
19	Assumption: dividend payout	0.3	forecast horizon	assumption	User / engine default (docum
20	Assumption: excess cash sweep	0	forecast horizon	assumption	User / engine default (docum
21	Assumption: share dilution	0	forecast horizon	assumption	User / engine default (docum
22	DCF value per share	205.14	valuation date	derived	APEX local deterministic fix
23	WACC	0.09	valuation date	assumption	APEX local deterministic fix
24	Enterprise value	30,471,481,011.68	valuation date	derived	APEX local deterministic fix

Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation: unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

Peer set — None supplied (comparables omitted)

Conclusion

On the evidence supplied we are constructive. The thesis would be strengthened by revenue tracking at or above 10.0%, cash conversion holding near 59.0% of EBITDA, ROIC sustained above 27.7%; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic demonstration data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

Investment thesis

Technology exposure with 10.0% modelled revenue growth, 36.7% terminal-year EBITDA margin and 59.0% EBITDA-to-FCF conversion. The balance sheet carries 300.00M USD of net cash (0.14x last reported EBITDA). The mechanical rating is BUY; the conviction basis is described below.

Thesis drivers

- Growth: revenue CAGR of 10.0% from 6.00B USD to 9.66B USD across the forecast horizon.
- Margins: EBITDA margin of 36.7% rising to 36.7%, consistent with operating leverage on the modelled cost base.

- Cash conversion: final-year free cash flow of 2.09B USD, 59.0% of EBITDA.
- Balance sheet: net cash of 300.00M USD at 0.14x EBITDA limits financial risk premium.
- Valuation: DCF value of 205.14 USD per share versus a 94.50 USD market price (117.1% upside).

Disclaimer

This report was produced by the APEX deterministic research engine running locally. All figures are model outputs derived from the stated inputs; they are not audited company disclosures and no investment advice is intended or implied.